CH1

1. The area of accounting aimed at serving the decision making needs of internal users is:

A. Financial accounting.
B. Managerial accounting.
C. External auditing.
D. SEC reporting.
ANS:B

2. A corporation:

A. Is a business legally separate from its owners.
B. Is controlled by the IASB.
C. Has shareholders who have unlimited liability for the acts of the corporation.
D. Is the same as a partnership.
ANS:A

3. If a parcel of land that was originally acquired for $85,000 is offered for sale at $150,000, is assessed for tax purposes at $95,000, is recognized by its purchasers as easily being worth $140,000, and is sold for $137,000, the land should be recorded in the purchaser's books at:

A. $95,000.
B. $137,000.
C. $138,500.
D. $140,000.
ANS:B

4. Marian Mosely is the owner of Mosely Accounting Services. Which accounting principle requires Marian to keep her personal financial information separate from the financial information of Mosely Accounting Services?

A. Monetary unit assumption.
B. Going-concern assumption.
C. Cost principle.
D. Business entity assumption.
ANS:D

5. Accounting is an information and measurement system that does all of the following except:

A. Identifies business activities.
B. Records business activities.
C. Communicates business activities.
D. Does not use technology to improve accuracy in reporting.
ANS:D

6. Which of the following accounting principles prescribes that a company record its expenses incurred to generate the revenue reported?

A. Going-concern assumption.
B. Matching principle.
C. Cost principle.
D. Business entity assumption.

ANS:B

7. Revenue is properly recognized:

A. When the customer's order is received.
B. Only if the transaction creates an account receivable.
C. At the end of the accounting period.
D. Upon completion of the sale or when services have been performed and the business obtains the right to collect the sales price.

ANS:D

8. If a parcel of land that was originally purchased for $85,000 is offered for sale at $150,000, is assessed for tax purposes at $95,000, is recognized by its purchasers as easily being worth $140,000, and is sold for $137,000, the land account transaction amount to handle the sale of the land in the seller's books is:

A. $85,000 increase.
B. $85,000 decrease.
C. $137,000 increase.
D. $137,000 decrease.

ANS:B

9. An example of an operating activity is:

A. Paying wages.
B. Purchasing office equipment.
C. Borrowing money from a bank.
D. Selling shares.

ANS:A

10. Resources that are expected to yield future benefits are:

A. Assets.
B. Revenues.
C. Liabilities.
D. Owner's Equity.

ANS:A

11. If assets are $99,000 and liabilities are $32,000, then equity equals:

A. $32,000.
B. $67,000.
C. $99,000.
D. $131,000.

ANS:B

12. The assets of a company total $700,000; the liabilities, $200,000. What are the claims of the owners?

A. $900,000.
B. $700,000.
C. $500,000.
D. $200,000.

ANS:C

13. Assets created by selling goods and services on credit are:

A. Accounts payable.
B. Accounts receivable.
C. Liabilities.
D. Expenses.

ANS:B

14. If the liabilities of a business increased $75,000 during a period of time and the owner's equity in the business decreased $30,000 during the same period, the assets of the business must have:

A. Decreased $105,000.
B. Decreased $45,000.
C. Increased $30,000.
D. Increased $45,000.

ANS:D

15. If the assets of a business increased $89,000 during a period of time and its liabilities increased $67,000 during the same period, equity in the business must have:

A. Increased $22,000.
B. Decreased $22,000.
C. Increased $89,000.
D. Decreased $156,000.

ANS:A

16. Reston had income of $150 million and average invested assets of $1,800 million. Its return on assets is:

A. 8.3%.
B. 83.3%.
C. 12%.
D. 120%.

ANS:A

17. Nick's had income of $350 million and average invested assets of $2,000 million. Its ROA is:

A. 1.8%.
B. 35%.
C. 17.5%.
D. 5.7%.

ANS:C

18. The statement of cash flows reports all of the following except:

A. Cash flows from operating activities.
B. Cash flows from investing activities.

C. Cash flows from financing activities.
D. The net increase or decrease in assets for the period reported.

ANS:D

19. The statement of changes in equity:

A. Reports how equity changes at a point in time.
B. Reports how equity changes over a period of time.
C. Reports on cash flows for operating, financing, and investing activities over a period of time.
D. Reports on cash flows for operating, financing, and investing activities at a point in time.

ANS:B

20. A financial statement providing information that helps users understand a company's financial status, and which lists the types and amounts of assets, liabilities, and equity as at a specific date, is called a(n):

A. Balance sheet or statement of financial position.
B. Income statement or statement of profit or loss and other comprehensive income.
C. Statement of cash flows.
D. Statement of changes in equity.

ANS:A

21. Use the following information as at December 31 to determine equity.

Liabilities..........................		$141,000
Cash.................................		57,000
Equipment.........................		206,000
Buildings...........................		175,000

A. $57,000.
B. $141,000.
C. $297,000.
D. $438,000.

ANS:C

22. A company's statement of financial position shows: cash $22,000, accounts receivable $16,000, office equipment $50,000, and accounts payable $17,000. What is the amount of owner's equity?

A. $17,000.
B. $29,000.
C. $71,000.
D. $88,000.

ANS:C

23. Flash has beginning equity of $257,000, net profit of $51,000, withdrawals of $40,000 and investments by owners of $6,000. Its ending equity is:

A. $223,000.
B. $240,000.
C. $268,000.
D. $274,000.

ANS:D

24. On June 30 of the current year, the assets and liabilities of Phoenix, Inc. are as follows: Cash $20,500; Accounts Receivable, $7,250; Supplies, $650; Equipment, $12,000; Accounts Payable, $9,300. What is the amount of owner's equity as at July 1 of the current year?

A. $8,300
B. $13,050
C. $20,500
D. $31,100

ANS:D